Cambridge (CIE) A Level Business

Your notes

Motivation

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- Motivation as a Tool of Management and Leadership
- Motivation Theories: Taylor, Mayo and Maslow
- Motivation Theories: Herzberg, McClelland and Vroom
- Motivation Methods in Practice

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Motivation and business objectives

- Motivation is the **inner desire or willingness** that drives a person to **achieve a specific goal or outcome**
  - **Intrinsic** motivation comes from within a person (values, beliefs, etc.)
  - **Extrinsic** motivation comes from external factors (rewards or punishments)
- Motivation plays a critical role in a business's success and can have a significant impact on **productivity**, reliability, worker loyalty and labour turnover

Productivity

- Motivated employees are **productive and efficient**, as they are likely to be engaged in work and take initiative to meet or exceed goals
  - They generate high levels of output and quality, leading to **higher profits**

Reliability of workers

- Motivated employees are likely to be **reliable**
- They take pride in their job, show up on time, meet deadlines and take few sick days
  - This leads to increased trust between the business and its employees and higher productivity

Labour turnover

- Motivated employees are likely to stay with a business long-term, which reduces staff **turnover**
  - This reduces the need for costly recruitment and training

Satisfying human needs at work

- **Human needs** are the essentials people must have to live a healthy, safe and decent life
  - Without these, people cannot survive or function properly

Examples of human needs

Need	How they may be met at work
Food and water	▪ Fair wages to afford groceries ▪ Access to water at work
Shelter	▪ A stable income to pay rent or a mortgage

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Health and safety	▪ Safe working conditions ▪ Protective equipment
Security	▪ Job security ▪ Clear contracts ▪ Protection from unfair dismissal
Social connection	▪ Positive relationships with colleagues ▪ Opportunities for teamwork

- Humans also have **wants**, which are things people would like to have to improve their quality of life, but they are **not essential** for survival

Examples of human wants

Want	How they may be met at work
Luxury items	▪ Bonuses or high pay to afford non-essentials
Career success	▪ Opportunities for promotion or recognition
Flexible lifestyle	▪ Flexible hours or remote work options
Respect and praise	▪ Positive feedback from managers or co-workers
Comfort	▪ Clean, modern office or staff facilities like lounges or cafés

- Businesses that help meet both needs and wants are likely to attract and retain motivated, satisfied employees
- However, needs and wants cannot always be met in the workplace
  - **Some jobs do not meet basic needs**
    - Not all work provides sufficient income or security to meet essential human needs like food, shelter or safety
      - E.g. A worker on a very low wage may still struggle to pay rent or afford proper meals
  - **Work may not provide emotional or social support**
    - Jobs that involve isolation, high stress or poor management may make employees lonely or undervalued.

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    - E.g. A delivery driver working long shifts alone may not feel socially connected
- **Not all workplaces offer personal growth or fulfilment**
  - not every job offers opportunities to develop skills or achieve career success
    - E.g. An office worker doing repetitive tasks with no chance for promotion may feel stuck or bored, even if they earn a good wage

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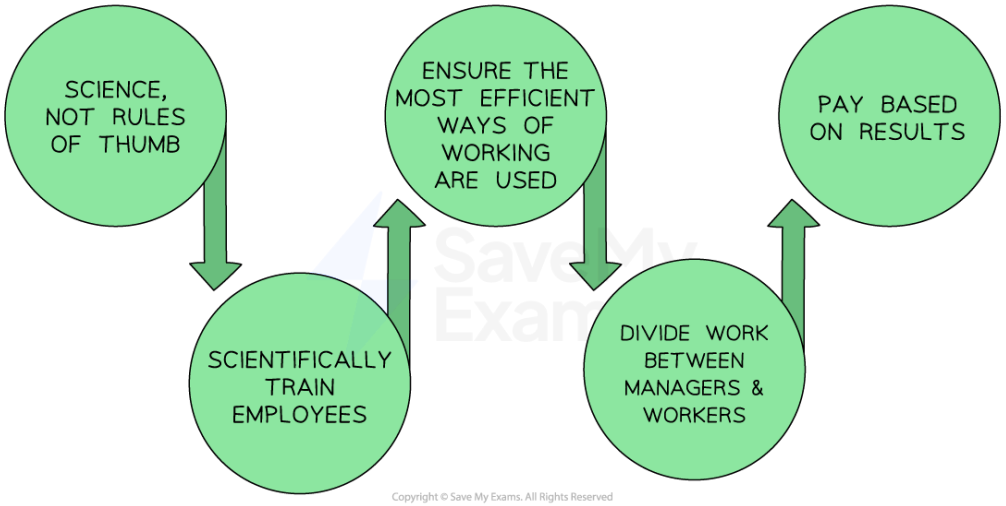
Taylor's motivation theory

- Taylor's theory focuses on **breaking down complex tasks** into simpler ones, standardising work processes and providing workers with **clear instructions** and **training** to achieve maximum efficiency
- **Manufacturing businesses** most commonly use Taylor's principles to structure staff benefits
  - **Piece rate** pay systems link output to financial rewards
  - Production lines involving human labour are often set up based on these principles

Taylor's theory of motivation



Taylor's method starts with a scientific analysis of what is involved in a job and then breaks it down into parts for which employees can be trained

The steps in Taylor's process

1. Study and analyse the work process

- Carefully analyse each step of the work process
- Break down **complex tasks** into simpler ones and identify the most efficient **way to perform each task**

2. Standardise the work process

- This involves creating **detailed procedures and instructions** for each task so that workers can follow these procedures consistently

3. Select and train workers

- Workers should be carefully selected based on their **skills and abilities**

- Train workers to perform their tasks efficiently and effectively
  - This training includes both **technical skills** and the **proper attitudes** and **behaviours** required to be successful (e.g patience in a repetitive task)

4. Provide incentives for performance

- Scientific management emphasises the **use of incentives** to motivate workers
  - This may include **bonuses** or **piece-rate pay**

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Evaluating Taylor's theory

How businesses use Taylor's approach	Advantages	Disadvantages
▪ Workers are trained to perform only one task, which they become very skilled at ▪ Workers are usually paid for the completed work (piece rate pay), e.g. $0.16 per T-shirt completed by garment workers in Bangladesh	▪ Increased efficiency lowers costs ▪ Standard procedures that everyone follows reduce errors ▪ Specialisation of labour leads to greater efficiency and productivity ▪ Clear lines of authority lead to more efficient decision-making and communication ▪ Good training and development improves employee performance and job satisfaction	▪ Overemphasis on efficiency reduces worker satisfaction and creativity ▪ Workers may disengage from work if they are reduced to working in a **machine-like system** ▪ This approach may not work for roles that need high levels of creativity, problem-solving or interpersonal skills ▪ Potential for exploitation, as this approach may be used to extract more work from workers without paying them fairly

Mayo's motivation theory

- Mayo's theory focuses on the **importance of social factors in the workplace**
  - These include factors such as **communication, motivation, and job satisfaction**
- Mayo suggests that the key to improving productivity and job satisfaction lies in understanding and **improving relationships between workers**, **supervisors** and **management**

How businesses use Mayo's Human Relations theory

How businesses use Mayo's approach	Advantages	Disadvantages

▪ **Empowering employees** in decision-making, e.g, creating teams which decide their priorities ▪ **Team-building activities** are used to build relationships ▪ **Providing feedback** and recognition to employees, e.g. Worker of the Week ▪ **Creating a positive work environment** by promoting open communication and providing support to employees, e.g. offering wellness programmes ▪ **Encouraging employee development** by offering training programmes, mentorship and career advancement	▪ **Improved job satisfaction** as workers feel valued and supported ▪ **Open and honest communication**, which reduces misunderstandings and conflicts ▪ **Employee empowerment** increases workers' sense of ownership and responsibility ▪ **Stronger teams**, as there is a sense of community and team spirit	▪ **Time-consuming**, as building positive relationships requires time and effort ▪ **Lack of control** as workers take more decisions ▪ **Resistance to change**, as some workers and managers may be resistant to the changes required by Mayo's theory ▪ **Potential for conflict**, as attempts to build stronger relationships can also lead to disagreement ▪ It may not work for businesses which require a high degree of individual autonomy and independence

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Maslow's hierarchy of needs

- Maslow outlined **five tiers of human needs** that must be met for individuals to reach their full potential
- Once a tier of needs has been met, it is **unlikely to continue to motivate**
  - For example, once safety needs are met through satisfactory pay, employees will **look for the next set of needs** - love and belonging needs – to be met

Maslow's hierarchy of needs

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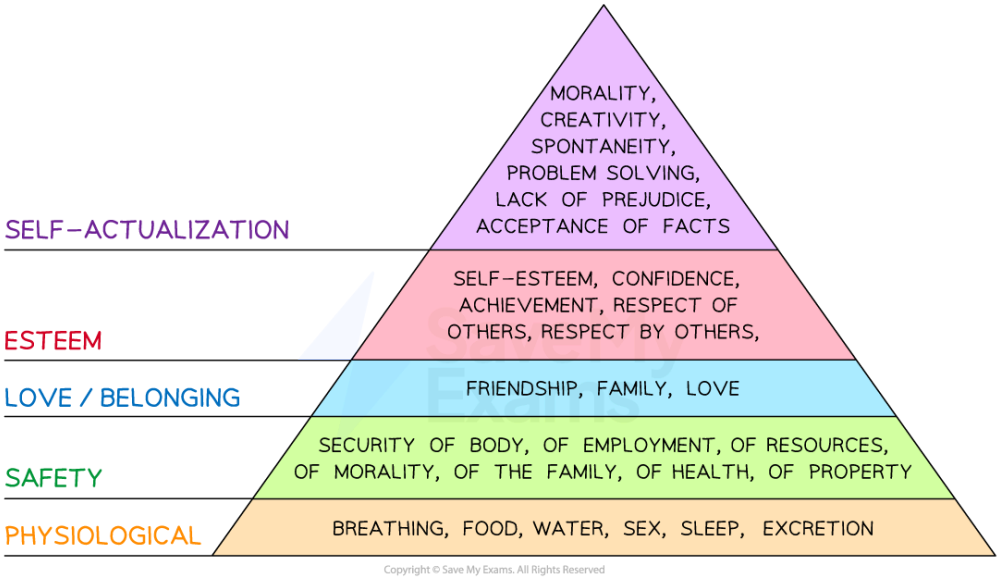

Maslow's Hierarchy of Needs explains human motivation based on the pursuit of different levels of needs being fulfilled

1. Physiological needs

- Businesses can **provide necessities** for their employees, e.g **comfortable work environment,** access to clean water and food and adequate rest breaks

2. Safety needs

- Businesses can provide job security, fair pay, benefits, and **safe working conditions** for their employees

3. Love and belonging needs

- Businesses can encourage teamwork and generate a **sense of community** and belonging within the workplace

4. Esteem needs

- Businesses can provide recognition for employees' accomplishments and provide a positive work culture that **values individual contributions**

5. Self-actualisation needs

- Businesses can help employees achieve this need by offering opportunities for employees to **pursue their passions** and interests
  - E.g. **Barclays Bank** supports elite sportspeople by allowing them time off work to continue their training (the focus is on getting the job done, not having to be present at work at a certain time)

Evaluating Maslow's theory

Advantages	Disadvantages

▪ By meeting employees' needs, a more satisfying work environment is established ▪ This can lead **to increased productivity** and **lower staff turnover rates** ▪ Offering **incentives that align** with their specific needs and desires improve staff loyalty ▪ Employees who feel valued and supported by their employers are more likely to **perform at a higher level**	▪ Businesses need to tailor their approach to meet the individual needs of their employees, as **one size does not fit all** ▪ Meeting many individual needs can be **expensive**, especially when offering costly perks ▪ **Determining the best way to motivate** requires significant effort from management to connect individually with workers

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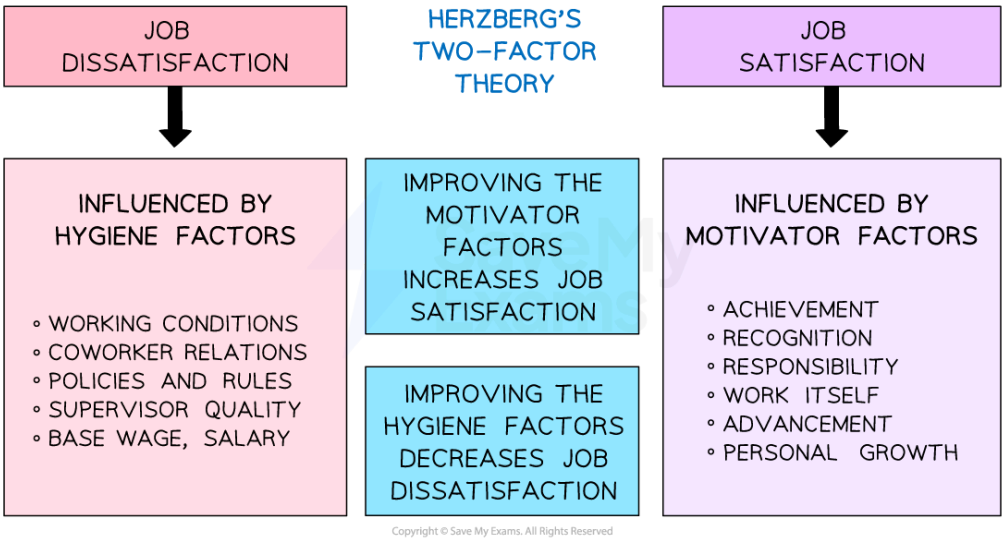
Herzberg's Two-Factor theory

- **Herzberg's theory** suggests that two factors affect employee motivation and job satisfaction
  - **Hygiene factors**
    - Elements that do not necessarily lead to job satisfaction, but their absence can cause dissatisfaction
  - **Motivators**
    - Elements that lead to job satisfaction and motivation

Herzberg's Two Factor theory



The lack of hygiene factors causes dissatisfaction while addressing motivators increases satisfaction

How businesses use hygiene factors to decrease dissatisfaction

- **Pay fair wages and salaries**
  - If an employee is not paid a fair rate for their work, they may become dissatisfied
- **Offer excellent working conditions**
  - If the workplace is dirty, unsafe, or uncomfortable, employees may become demotivated
  - E.g. **Google**'s workplaces include gourmet restaurants, laundry services and dog care

- **Offer employment contracts which provide job security**
  - If employees feel that their job is not secure, they may become anxious and contribute less to business goals

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How businesses use motivating factors to increase satisfaction

- **Build a recognition and rewards culture**
  - When employees are recognised and rewarded for their hard work, they are motivated to perform well
- **Offer opportunities for growth and development**
  - When employees are given opportunities to learn new skills and advance in their careers, they are motivated to continue working for the business
- **Provide challenging work that requires problem-solving.**
  - When employees are given challenging work that allows them to use their skills and abilities, they are motivated to continue performing well

McClelland's Acquired Needs theory

- McClelland's **Acquired Needs theory** focuses on **three key needs** that individuals develop over time and how these needs influence their actions and choices in the workplace and in life

Summary of McLelland's Acquired Needs

Type of need	Achievement need (nAch)	Affiliation need (nAff)	Power need (nPow)
Motivations	▪ Desire to excel and achieve challenging tasks ▪ Setting & achieving personal goals	▪ Forming positive relationships ▪ Being happy within the workplace	▪ Desire to influence & control others or situations ▪ Bring out the best in others in teams
Behaviours	▪ Seek success and take calculated risks ▪ Appreciate feedback on their performance ▪ Enjoy tasks that require problem-solving	▪ Seek approval, acceptance and social interaction ▪ Avoid conflict ▪ Prioritise harmony in their interactions ▪ Desire for cooperation	▪ Seek leadership positions ▪ Enjoy being in control of their environment ▪ McClelland identified **two types of power needs:** ▪ **Personal power** is the desire to control others

	▪ Driven by a sense of accomplishment	and collaboration	▪ **Institutional power** is the desire to influence and shape organisational systems

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- The relative strength of these needs **varies among individuals**
- They can be developed over time through **life experiences**, **upbringing** and **cultural influences**
- Understanding individuals' dominant need can **help employers tailor their approach to employee motivation** and management

Strengths and weaknesses of McLelland's Acquired Needs theory

Strengths	Weaknesses

▪ The model is **easy to understand and apply**
  ▪ Helps managers to motivate employees in various situations
▪ It recognises that people have **varying needs and motivations**
  ▪ Managers can create more effective motivational strategies
▪ It is based on **extensive research**
  ▪ McClelland's research was conducted in various contexts so it can be applied in different settings
	▪ Does not account for the **complexity of human behaviour**
	  ▪ Can be influenced by a wide range of personal and environmental factors
	▪ The model may **oversimplify** workers' motivations
	  ▪ People often have a combination of the three needs
	▪ **Limited evidence** supports the specific needs identified in the theory
	  ▪ Achievement, affiliation and power are not universally accepted as the main drivers of human behaviour

Vroom's Expectancy theory

- Vroom's Expectancy theory seeks to explain **why people make choices and behave in specific ways**
  - It assumes that people will choose to **maximise pleasure** and **minimise pain** and will behave in a way that results in the **best outcome or reward**
- It suggests that motivation depends on these three factors working together
  - **Expectancy** is the belief that effort leads to performance

- **Instrumentality** is the belief that performance leads to outcomes
- **Valence** is the value or desirability of those outcomes

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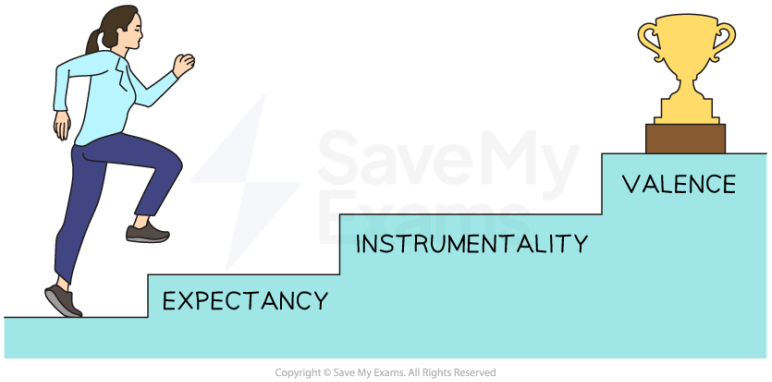
Vrooms Expectancy theory



Vroom suggests that motivation depends on the three factors of expectancy, instrumentality and valence

Expectancy	Instrumentality	Valence
▪ **Effort will lead to successful performance** ▪ If a worker believes that hard work will result in achieving a specific goal, they are likely to be motivated to put in that effort	▪ **Successful performance will be rewarded** ▪ If a worker is confident that hard work will lead to a desirable outcome or reward, they are more likely to be motivated to perform well	▪ **The potential outcome is desirable** ▪ The more valuable or appealing the outcome, the more motivated workers are to achieve it

- Where low motivation is identified, managers may **take steps to improve one or more of the components for individuals**
- These steps may include
  - **Improve training** and development to increase the expectancy score
  - **Increase trust** between management and workers by ensuring that promises are kept to increase the instrumentality score
  - Increase the **range of rewards** available for good performance to improve the valence score

Strengths and weaknesses of Vroom's Expectancy theory

Strengths	Weaknesses
▪ The theory takes into account **personal differences** and considers them when explaining motivation ▪ A clear and logical framework for understanding motivation by **breaking it down into three key components** ▪ It emphasises the **importance of involving employees** in the goal-setting process	▪ The theory is based on **subjective** perceptions and beliefs so it may not always accurately predict behaviour ▪ Individuals' **perceptions** and **values can vary** ▪ It provides a **framework** for understanding motivation **rather than making precise predictions**

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Examiner Tips and Tricks

Case studies often contain clues to the motivational approach adopted by a business. Consider how much or how little control over their working patterns employees have. Weigh up which needs are - or are not being met. Look for indications of how challenging or engaging the work is likely to be.

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Financial motivators

- Financial incentives are rewards or payments given to employees in return for their labour or improved performance

Financial incentives and motivation theory

Financial incentive	Explanation	Link to motivation theory
Piece rate	▪ Employees are paid according to the number of units or pieces they produce ▪ Commonly used in manufacturing or assembly line settings to encourage workers to produce more	▪ **Taylor's Scientific Management** ▪ Focused on output and financial reward as the main motivator
Time rate	▪ Employees are paid based on the number of hours they work, often at an hourly wage ▪ This method values time over output	▪ A **hygiene Factor in Herzberg's Theory** ▪ Provides financial security but doesn't directly motivate higher performance
Salary	▪ A fixed monthly or annual payment not based on hours worked or output ▪ Offers stability and is often linked to professional or office-based roles	▪ A **hygiene Factor in Herzberg's Theory** ▪ Removes dissatisfaction (e.g. worrying about pay), but does not itself motivate employees to achieve more
Commission	▪ A percentage of sales revenue is paid to workers who sell products or services ▪ Commonly used in sales roles and motivates staff to sell more	▪ A **hygiene factor in Herzberg's theory** because it provides financial reward but doesn't always lead to long-term motivation on its own ▪ When combined with public recognition (like 'Salesperson of the Month'), it can meet **esteem needs in Maslow's hierarchy**, making employees feel valued

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		and respected for their achievements
Bonus	▪ An additional payment is given to staff as a reward for achieving specific goals, completing projects on time, or exceeding expectations	▪ Connects to **Esteem Needs in Maslow's Hierarchy** (achievement) but **Herzberg** warned using bonuses as main pay can harm motivation and behaviour (e.g. banking crisis example)
Profit share	▪ A portion of the company's profits are shared with employees, encouraging them to work as a team and support the business's success	▪ A **motivator in Herzberg's Theory** ▪ Linked to increased responsibility and recognition (staff feel like part-owners)
Performance-related pay	▪ Staff are paid based on how well they meet targets or performance goals ▪ Criticised for being open to bias and demotivation if unfair	▪ A **hygiene Factor in Herzberg's Theory** ▪ May cause dissatisfaction and is often viewed as unfair, especially if targets are unclear or subjective
Fringe benefits	▪ Extra non-cash rewards such as company cars, health insurance, gym membership, or staff discounts ▪ Designed to improve employee satisfaction and retention	▪ A **hygiene Factor in Herzberg's Theory** ▪ Makes the work environment more comfortable but does not directly motivate improved performance

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Advantages of using financial motivators

1. **Quickly boosts performance**
   - Financial rewards like bonuses or commissions can lead to an immediate increase in effort and output
2. **Easy to measure and manage**
   - Targets linked to pay, such as volume of sales or units produced, are clear and simple to monitor
3. **Attracts skilled employees**
   - High pay and incentives can help a business compete for top talent in the job market

Disadvantages of using financial motivators

1. **Can reduce teamwork**
    - If pay is based on individual results, employees may compete instead of working together
2. **Short-term focus**
    - Employees may focus only on rewards and ignore quality, customer service or long-term goals
3. **Costly for the business**
    - Bonuses, commission and other financial rewards can become expensive, especially if not linked to overall profit

Non-financial motivators

- Many people want challenge, recognition and opportunities for development from their work
- According to **Herzberg**, motivators like job enrichment, promotion, and recognition increase job satisfaction by giving responsibility and purpose
    - Empowerment and participation in decision-making help employees feel trusted, which boosts motivation
- According to **Maslow**, non-financial rewards meet higher-level needs like belonging, esteem and self-fulfilment

Examples of non-financial motivators

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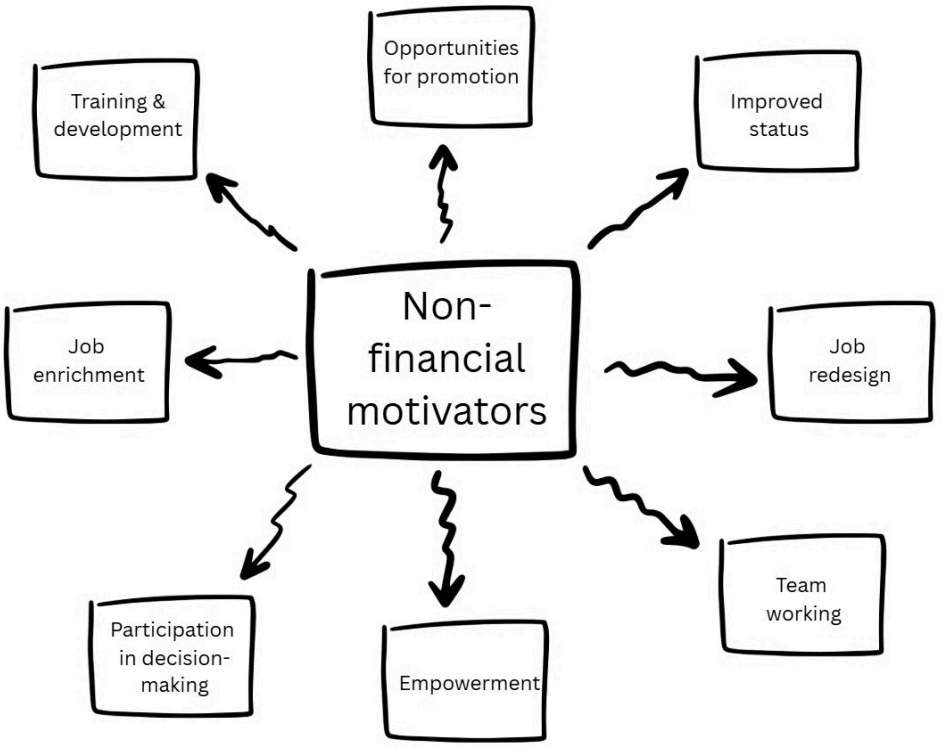

Non-financial motivators include improved status, opportunities for promotion and job enrichment

- **Training and development** help employees improve their skills and grow in confidence, making them feel more capable and valued
- **Opportunities for promotion** encourage employees to work harder by offering a clear path to higher-level roles and responsibilities
- **Improved status** gives employees a higher job title or position, increasing their sense of importance and recognition
- **Job redesign** involves changing job roles to make them more interesting or meaningful, which can reduce boredom and boost motivation
- **Team working** encourages collaboration and a sense of belonging, helping employees feel supported and connected
- **Empowerment** means giving employees the freedom to make decisions, which increases trust, confidence, and motivation
- **Participation in decision-making** involves employees in business decisions, making them feel respected and more committed to the outcomes
- **Job enrichment** adds more challenging or meaningful tasks to a role, giving employees a sense of achievement and purpose

Motivation theories in practical situations

- Businesses use motivation theories to understand what motivates their staff and then apply these ideas to improve performance, job satisfaction, and staff retention

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Applying Taylor's theory

- Taylor suggested that workers should be given **simple tasks** and **paid based on how much they produce**
- Businesses may use **performance-based pay** systems
  - For example, factory workers are paid per unit made
  - Tasks are often simplified and repeated to improve speed and efficiency
  - Close supervision and clear instructions are given to employees

Case Study

Dhaka Stitchworks Ltd is a clothing manufacturer based in Bangladesh that supplies T-shirts to international fashion brands

The business employs over 200 factory workers and follows a piece-rate payment system, where each worker is paid £2 for every completed T-shirt

This system encourages workers to sew as many garments as possible each day, as their earnings depend on how much they produce

Supervisors monitor the production line closely and give clear instructions, in line with Frederick Taylor's idea that efficiency improves when tasks are simple and output is rewarded

The factory has achieved high productivity levels using this approach. However, some workers feel their work is repetitive and physically tiring. A few have left the job due to the lack of variety and long hours

Applying Herzberg's two-factor theory

- Businesses make sure basic hygiene factors, such as fair pay and a clean and safe environment, are in place
- Then they focus on motivators by giving employees responsibility, chances for promotion or by recognising achievements

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Case Study

KrakSoft Technologies is a software company based in Kraków, Poland, specialising in developing mobile apps and digital solutions for clients across Europe. The business employs over 80 software developers, designers and project managers

Hygiene factors

- Employees receive competitive salaries and enjoy modern, comfortable offices
- They also benefit from flexible working arrangements and remote work options

Motivators

- Staff are regularly praised for achievements, with monthly recognition awards and performance bonuses
- They are encouraged to lead projects and attend international technology conferences
- They also take part in career development programmes tailored to their goals

Outcomes

- Employees are engaged, creative and willing to take on responsibility
- Staff turnover is low, and the work environment is known for being both productive and positive

Employee participation

- Employee participation means **involving workers in decisions** that affect the running of the business
- This can lead to greater motivation, better communication and improved performance
  - However, it may slow decision-making, and managers must be open to listening and acting on employee input

Ways employees participate

Method	Explanation
Team meetings	▪ Regular meetings allow employees to share ideas, give feedback and stay informed about business goals
Suggestion schemes	▪ Employees are encouraged to submit ideas for improvements ▪ Good suggestions may be rewarded
Works councils or staff forums	▪ Groups of employee representatives meet with management to discuss workplace issues and policies
Trade unions	▪ Represent employees' interests in discussions with management, especially on pay and working conditions
Surveys and feedback tools	▪ Employees give their views on the workplace, helping managers understand staff concerns and suggestions
Project groups or task forces	▪ Employees join temporary teams to work on specific projects or solve problems collaboratively
Quality circles	▪ Small groups of workers meet regularly to suggest improvements in production or service quality
Shared ownership or profit-sharing schemes	▪ Employees feel like part-owners of the business and are more likely to support long-term success

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